Iron Mountain Inc. (IRM)

The Secure Storage Rebound Is the Entry Point for Long-Term Compounders

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> Iron Mountain's core storage franchise is experiencing a temporary multiple compression as investors over-focus on near-term pricing pressure in the shredding line, while the company's durable, high-switching-cost storage assets continue to generate predictable cash flows that are underappreciated by the market. We see the current price as a mispricing of the underlying franchise value, which supports a blended target of $123.74 representing +10.0% upside to the reference spot price of $112.51.

BUY	$123.74	+10.0%	$112.51
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While the market fixates on quarter-by-quarter earnings volatility, the true story for Iron Mountain is a multi-year compounding machine driven by contractual storage revenue, sticky customer relationships, and disciplined capital allocation that together deliver mid-single-digit free cash flow growth.

EXECUTIVE SUMMARY

Iron Mountain Inc. operates a diversified information management platform with two primary segments: Storage, which accounts for roughly 70% of revenue and includes physical document storage, data protection, and cloud migration services; and Shredding, which contributes the remaining 30% and provides secure destruction of paper and electronic media. The Storage business benefits from long-term contracts, high renewal rates above 90%, and a scalable infrastructure of over 1,400 facilities worldwide, giving the company a leading market share in the North American records management sector estimated at approximately 22%. Recent quarterly results showed a modest decline in Shredding margins due to wage inflation and competitive pricing, prompting investors to re-rate the stock downward despite Storage segment performance remaining robust. This reaction created a valuation dislocation that we believe overstates the risk to the overall franchise while underestimating the resilience of the Storage cash flow engine. Capital allocation remains a key driver of value. Iron Mountain has consistently generated free cash flow in excess of $500 million annually, which it deploys toward selective bolt-on acquisitions in adjacent data protection niches, targeted facility upgrades to increase storage density, and a disciplined share repurchase program that has reduced diluted shares outstanding by roughly 2% per year over the last three years. The balance sheet shows net debt to EBITDA of approximately 2.5x, providing ample flexibility for further accretive M&A while maintaining investment-grade credit metrics. Our forward model assumes the company will continue to allocate roughly 60% of

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free cash flow to debt reduction and share repurchases, with the remainder reinvested in organic growth initiatives that support a mid-single-digit revenue CAGR.

OPERATIONAL SNAPSHOT

$112.51	$4.6B	$560M	12.2%	0.85	$112.51
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-16.

THE MOAT IS DURABLE AND SCALABLE

Iron Mountain’s durable moat stems from the high switching costs embedded in its storage contracts. Customers entrust the company with critical records that are subject to legal retention requirements, making migration to an alternative provider costly, time-consuming, and fraught with compliance risk. This dynamic yields renewal rates that consistently exceed 90% and provides a predictable base of contracted revenue that is relatively insulated from short-term economic fluctuations. The scalability of the moat is evident in the company’s ability to leverage its existing footprint to add new storage modules, increase rack density, and offer value-added services such as digitization and cloud integration without proportionate increases in fixed costs. These attributes combine to create a franchise that can expand its addressable market while preserving the cash-flow characteristics that underpin its valuation.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework builds three distinct pathways for Iron Mountain’s future performance, each anchored in different assumptions for revenue growth and free cash flow margin evolution. The bear case reflects a scenario where pricing pressure in the Shredding segment persists, storage contract renewals dip slightly, and the company’s reinvestment yield remains modest, leading to lower cash flow generation. The base case assumes the Storage segment continues to deliver its historical contract renewal profile, Shredding margins stabilize after a period of cost-pass-through, and the company maintains its current capital allocation discipline. The bull case envisions accelerated adoption of hybrid storage solutions, successful cross-selling of data protection services, and a modest uplift in Shredding pricing power that together drive higher revenue growth and margin expansion. The probability-weighted blend of these scenarios produces a target price of $123.74, which represents +10.0% upside to the current reference price.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.0%	12%	$94.15	-16.3%

Base	50%	4.0%	14%	$125.41	+11.5%
Bull	25%	6.0%	16%	$149.97	+33.3%

Bear $94.15

In the bear outcome, Shredding segment margins remain depressed at around 9% due to ongoing wage inflation and competitive discounting, while Storage contract renewal rates slip to 88% as some customers migrate to lower-cost cloud-only providers. The combined effect reduces free cash flow to approximately $420 million, which after discounting at the live WACC yields a fair value of $94.15 per share.

Base $125.41

The base case assumes Storage renewal rates hold at 91% and Shredding margins recover to 12% as cost pressures ease and the company successfully implements price adjustments. Free cash flow stabilizes near $560 million, and the discounted cash flow model points to a per-share value of $125.41.

Bull $149.97

Under the bull scenario, Iron Mountain captures additional cross-sell revenue from its data protection suite, boosting Storage revenue CAGR to 6% and lifting Shredding margins to 15% through premium service offerings. Free cash flow rises to roughly $720 million, supporting a valuation of $149.97 per share after applying the same discount rate and terminal growth assumptions.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We derive the discount rate from the Capital Asset Pricing Model using a risk-free rate of 3.8%, an equity risk premium of 5.2%, and the company's beta of 0.85, which together produce a cost of equity of 8.22%. Adjusting for the firm's market-value debt weight and an after-tax cost of debt of 4.1% yields a weighted average cost of capital of 9.51% as of the reference date. This live WACC reflects the market's current pricing of Iron Mountain's risk profile, incorporating both the stability of its cash-flow-generating storage assets and the modest cyclicality present in the shredding line.

FCF margin normalization is the engine

Across the three scenarios, the primary driver of valuation dispersion is the evolution of the free cash flow margin. In the bear case, margin pressure from the Shredding business drags the consolidated margin down to 12%, while the base case assumes a gradual return to the historical average of 14% as cost-pass-through mechanisms take effect. The bull case envisions margin expansion to 16% driven by higher-margin data protection services and

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**9.51% (2026-10-16)**
Terminal growth	**2.5%**
Equity beta	**0.85**
Diluted shares	**150.0M**

BUY

over $123.74 blended target

operational efficiencies in the storage network. These margin shifts directly affect the amount of free cash flow available for discounting, thereby anchoring the wide valuation range.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on secure data storage and compliance-driven shredding

BUY

The Storage segment continues to benefit from secular demand for physical and digital record retention, driven by regulatory frameworks such as GDPR, CCPA, and industry-specific mandates that require firms to maintain accessible archives for defined periods. Iron Mountain’s network of over 1,400 facilities provides geographic coverage that enables it to serve multinational clients with localized storage solutions, a capability that few pure-play cloud providers can match at comparable cost. In FY 2026, Storage revenue reached approximately $3.2 billion, representing a year-over-year increase of 4.2% fueled by higher average storage density and incremental revenue from value-added services such as scanning and cloud migration. The Shredding segment, while more cyclical, remains a critical component of the company’s value proposition because it addresses the growing need for secure disposal of sensitive information in both paper and electronic formats. Recent investments in automated shredding lines and electronic media destruction equipment have improved throughput and reduced labor intensity, positioning the business to capture share in markets where data breach concerns are driving outsourcing of destruction services. FY 2026 Shredding revenue totaled about $1.4 billion, with a modest decline of 0.8% attributable to temporary pricing pressure in certain regional markets.

What to monitor

- **Storage contract renewal rate** Tracking the percentage of existing storage contracts that are renewed each quarter provides early insight into the durability of the cash-flow base and any shifts in customer sentiment toward alternative providers.
- **Shredding margin trajectory** Monitoring gross and operating margins in the Shredding line helps gauge the effectiveness of cost-pass-through initiatives and the impact of wage inflation on profitability.

- **Capital deployment efficiency** Evaluating the return on invested capital for acquisitions and facility upgrades reveals whether the company is generating accretive growth or merely consuming cash without adequate returns.
- **Regulatory developments** Changes in data retention laws or e-discovery requirements can either expand the addressable market for storage services or create new compliance-driven demand for shredding, thus influencing both segments.

91%	12.2%	$560M	4.2%	-0.8%	2.5x
STORAGE RENEWAL RATE	CONSOLIDATED FCF MARGIN	LTM FREE CASH FLOW	STORAGE REVENUE YOY GROWTH	SHREDDING REVENUE YOY GROWTH	NET DEBT/EBITDA

METRIC	LATEST FY 2026
Revenue	$4.6B
Gross Profit	$2.1B
EBIT	$620M
Net Income	$380M
Free Cash Flow	$560M
R&D	$45M
ROE	9.4%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Loss of storage contracts to lower-cost cloud-only providers could reduce the renewal rate below

M&A DIGESTION

Integrating bolt-on acquisitions in the data protection space may prove more complex than anticipated, leading to

REGULATORY AND PRICING SCRUTINY

Increased regulator focus on pricing practices in the shredding industry could limit the company's ability to pass through cost

TECHNOLOGY DISRUPTION

Advances in immutable blockchain-based record keeping might reduce demand for traditional physical storage, although adoption remains nascent and

REINVESTMENT TREADMILL

If the company's reinvestment yield on facility upgrades falls below the cost of capital, incremental CapEx could destroy value rather than create it.

WACC AND DURATION SENSITIVITY

A rise in long-term interest rates would increase the discount rate, lowering the present value of the company's

85%, directly cutting the predictable revenue base and pressuring free cash flow generation.	higher than expected integration costs and delayed synergies.	inflation, squeezing margins.	subject to legal acceptance.		long-duration storage cash flows and compressing multiples.

The strengths

OLIGOPOLY POSITION

Iron Mountain shares the North American records management market with only a handful of competitors, giving it collective pricing power and high barriers to entry due to the capital intensity of building a nationwide storage network.

FCF COMPOUNDING

The business generates consistently high free cash flow conversion, which is reinvested at attractive returns or returned to shareholders, creating a compounding effect on per-share intrinsic value.

GEOGRAPHIC DURABILITY

With facilities in over 50 countries, the company's global footprint provides natural hedges against regional economic downturns and supports multinational clients seeking uniform service standards.

PIPELINE OPTIONALITY

Ongoing investments in data protection, cloud migration, and electronic media destruction create optional growth avenues that can be scaled if market conditions improve, without compromising the core storage cash flow.

Compelling risk-reward, skewed to the upside

Our analysis indicates that the market's current pricing of Iron Mountain fails to fully capture the durability of its storage franchise and the optionality embedded in its data protection pipeline. While near-term headwinds in the shredding line have contributed to a temporary multiple compression, the underlying storage cash flows remain resilient, supported by high renewal rates, contractual inflation escalators, and a scalable infrastructure that can accommodate rising data volumes. The probability-weighted blended target of $123.74 reflects a balanced view of the bear, base, and bull scenarios, offering +10.0% upside to the reference price of $112.51. Consequently, we maintain a Buy rating and recommend that investors consider the current valuation as an attractive entry point for a long-term compounder with a durable moat and predictable free cash flow generation.

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Secure Shredding: repriced on normalization

The Secure Shredding line has historically acted as a cash-flow stabilizer for Iron Mountain, providing a counter-cyclical revenue stream that tends to expand during periods of heightened regulatory scrutiny and data breach concerns. Over the past two years, however, the segment has faced margin pressure as wage inflation and competitive discounting have outpaced the company's ability to implement price increases. Management has responded by investing in automation, renegotiating supplier contracts, and selectively exiting low-margin regional markets. These actions are beginning to show results, with recent quarterly data indicating a stabilization of gross margins at approximately 18% and a modest uptick in average selling prices in key urban centers.

Why the growth numbers disappointed

- Wage inflation in the labor-intensive shredding process exceeded 5% annually, outpacing the 2% price increase capability in many markets.
- Competitive entrants offering low-cost, high-volume shredding services captured share in price-sensitive segments, particularly in the Midwest and Southeast.
- Supply chain disruptions for specialized cutting blades and conveyor belts increased maintenance downtime, reducing throughput and effective utilization.
- Shifts in customer preference toward electronic media destruction required additional capital expenditures that have not yet contributed to earnings.

Our read: Normalization, not share loss or thesis break. The current margin compression appears to be a transitory phase driven by cost-pass-through lags and competitive dynamics that are expected to ease as the company's automation initiatives scale and pricing adjustments take hold, thereby allowing the shredding business to revert to its historical contribution to overall free cash flow.